



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2331: electric service providers; energy reliability

HEAP FLOOR AMENDMENT

1. Requires certain public power entities, on or after January 1, 2030 ensure that at least 85% of the generating capacity that is relied on to serve retail load customers consist of reliable resources.
2. Defines *generating capacity*, *intermittent availability* and *reliable resource* as it relates to public power entities.
3. Removes requirements of the Arizona Corporation Commission regarding the implementation and enforcement of this act.
4. Modifies the definition of *reliable resource* as it relates to public service corporations.
5. Removes the definitions of *performance standard* and *resource accreditation*.

HEAP FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2331
(Reference to NATURAL RESOURCES, ENERGY & WATER S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 " <<Section 1. Title 30, chapter 6, article 1, Arizona Revised
4 Statutes, is amended by adding section 30-812, to read:

5 30-812. Public power entity; generating capacity; reliable
6 resources; definitions

7 [A. ON OR AFTER JANUARY 1, 2030, A PUBLIC POWER ENTITY THAT SERVES
8 MORE THAN ONE MILLION CUSTOMERS IN THIS STATE SHALL ENSURE THAT AT LEAST
9 EIGHTY-FIVE PERCENT OF THE GENERATING CAPACITY THAT IS RELIED ON TO SERVE
10 RETAIL LOAD CUSTOMERS CONSISTS OF RELIABLE RESOURCES.

11 B. FOR THE PURPOSES OF THIS SECTION:

12 1. "GENERATING CAPACITY":

13 (a) MEANS THE NAMEPLATE ALTERNATING CURRENT CAPACITY, MEASURED IN
14 MEGAWATTS, OF ELECTRIC GENERATION RESOURCES THAT ARE OWNED, CONTROLLED,
15 CONTRACTED FOR OR OTHERWISE RELIED ON BY A PUBLIC POWER ENTITY TO SERVE
16 RETAIL LOAD IN THIS STATE.

17 (b) INCLUDES CAPACITY FROM UTILITY-OWNED RESOURCES AND CAPACITY
18 FROM PURCHASED POWER OR TOLLING ARRANGEMENTS THAT PROVIDE CAPACITY VALUE
19 TO THE PUBLIC POWER ENTITY.

20 2. "INTERMITTENT AVAILABILITY" MEANS RESOURCE AVAILABILITY THAT IS
21 PRIMARILY DEPENDENT ON WEATHER CONDITIONS, SOLAR IRRADIANCE, WIND SPEEDS
22 OR OTHER NATURALLY VARIABLE CONDITIONS BEYOND THE OPERATOR'S CONTROL AND
23 THAT CANNOT BE DISPATCHED ON DEMAND TO MEET SYSTEM NEEDS AS DETERMINED BY
24 THE CORPORATION COMMISSION.

25 3. "RELIABLE RESOURCE" MEANS AN ELECTRIC GENERATION RESOURCE THAT
26 IS DISPATCHABLE OR IS CAPABLE OF PROVIDING BASELOAD ENERGY AND THAT IS NOT

1 SUBJECT TO INTERMITTENT AVAILABILITY, EXCEPT FOR ROUTINE MAINTENANCE AND
2 REPAIRS.]]>>

3 Sec. 2. Title 40, chapter 2, article 1, Arizona Revised Statutes,
4 is amended by adding section 40-207, to read:

5 40-207. Electric public service corporation; generating
6 capacity; reliable resources; definitions

7 A. ON OR AFTER JANUARY 1, 2030, AN ELECTRIC PUBLIC SERVICE
8 CORPORATION SHALL ENSURE THAT AT LEAST EIGHTY-FIVE PERCENT OF THE
9 GENERATING CAPACITY THAT IS RELIED ON TO SERVE RETAIL LOAD CUSTOMERS
10 CONSISTS OF RELIABLE RESOURCES.

11 ~~[B. THE COMMISSION SHALL ENFORCE THIS SECTION IN ALL RELEVANT~~
12 ~~ADMINISTRATIVE PROCEEDINGS, INCLUDING:~~

13 ~~1. ANY INTEGRATED RESOURCE PLAN OR EQUIVALENT PLANNING DOCKET.~~

14 ~~2. ANY CERTIFICATE OF ENVIRONMENTAL COMPATIBILITY, CERTIFICATE OF~~
15 ~~CONVENIENCE AND NECESSITY OR OTHER APPROVAL PROCEEDINGS.~~

16 ~~3. ANY RATE CASE AND COST RECOVERY PROCEEDING.~~

17 ~~4. ANY COMPETITIVE SOLICITATION, REQUEST FOR PROPOSALS AND~~
18 ~~PROCUREMENT APPROVAL.~~

19 ~~C. THE COMMISSION SHALL ENSURE THAT INTEGRATED RESOURCE PLANS,~~
20 ~~PROCUREMENTS AND COST RECOVERY REQUESTS ARE CONSISTENT WITH SUBSECTION A~~
21 ~~OF THIS SECTION.~~

22 ~~D. BEGINNING JANUARY 1, 2031 AND EACH YEAR THEREAFTER, EACH~~
23 ~~ELECTRIC PUBLIC SERVICE CORPORATION SHALL FILE A REPORT WITH THE~~
24 ~~COMMISSION THAT DEMONSTRATES THE ELECTRIC PUBLIC SERVICE CORPORATION'S~~
25 ~~COMPLIANCE WITH SUBSECTION A OF THIS SECTION. THE REPORT MUST INCLUDE:~~

26 ~~1. A LIST OF RESOURCES THAT ARE COUNTED TOWARD GENERATING CAPACITY.~~

27 ~~2. THE GENERATING CAPACITY THAT IS ATTRIBUTED TO EACH RESOURCE.~~

28 ~~3. THE GENERATING CAPACITY THAT IS COUNTED AS A RELIABLE RESOURCE.~~

29 ~~4. ANY PERFORMANCE DATA THAT EXPLAINS A RELIABLE RESOURCE.~~

30 ~~5. ANY COMMISSION REQUIRED CALCULATION, ATTESTATION OR AUDIT.~~

31 ~~E. THE COMMISSION SHALL MAKE EACH REPORT PUBLICLY AVAILABLE UNLESS~~
32 ~~THE INFORMATION IS CONFIDENTIAL BY LAW.~~

33 ~~F. IF THE COMMISSION DETERMINES THAT AN ELECTRIC DISTRIBUTION~~
34 ~~UTILITY IS NOT IN COMPLIANCE, THE COMMISSION SHALL ORDER A CORRECTIVE~~
35 ~~ACTION PLAN THAT ACHIEVES COMPLIANCE AS SOON AS PRACTICABLE AND MAY:~~

36 ~~1. NOT ALLOW COST RECOVERY FOR NEW GENERATING CAPACITY INVESTMENTS~~
37 ~~OR CONTRACTS THAT MATERIALLY CONTRIBUTE TO NONCOMPLIANCE.~~

38 ~~2. REQUIRE THAT PROCUREMENT PLANS OR SOLICITATIONS BE MODIFIED.~~

39 ~~3. IMPOSE REASONABLE PERFORMANCE, REPORTING OR ASSURANCE~~
40 ~~REQUIREMENTS.~~

41 ~~4. TAKE ANY OTHER ACTION WITHIN THE COMMISSION'S JURISDICTION TO~~
42 ~~ENSURE COMPLIANCE.~~

43 ~~G. THE COMMISSION SHALL PRIORITIZE RELIABILITY AND ADEQUACY OF~~
44 ~~SERVICE.~~

1 ~~H. THE COMMISSION MAY NOT APPROVE OR ALLOW COST RECOVERY FOR~~
2 ~~RESOURCE ACTIONS THAT WOULD REASONABLY BE EXPECTED TO CAUSE THE ELECTRIC~~
3 ~~PUBLIC SERVICE CORPORATION'S GENERATING CAPACITY TO FALL BELOW EIGHT-FIVE~~
4 ~~PERCENT OF RELIABLE RESOURCES.~~

5 ~~I. THE COMMISSION SHALL ADOPT RULES TO IMPLEMENT THIS SECTION. THE~~
6 ~~RULES MUST INCLUDE:~~

7 ~~1. THE METHOD FOR CALCULATING AN ELECTRIC PUBLIC SERVICE~~
8 ~~CORPORATION'S GENERATING CAPACITY AND THE PORTION THAT QUALIFIES AS~~
9 ~~RELIABLE RESOURCES.~~

10 ~~2. HOW TO TREAT CONTRACTED RESOURCES, SHARED RESOURCES, CAPACITY~~
11 ~~IMPORTS AND RESOURCE ACCREDITATION.~~

12 ~~3. REASONABLE VERIFICATION AND AUDITING REQUIREMENTS.~~

13 ~~J.] [B.] FOR THE PURPOSES OF THIS SECTION:~~

14 ~~1. "GENERATING CAPACITY":~~

15 ~~(a) MEANS THE NAMEPLATE ALTERNATING CURRENT CAPACITY, MEASURED IN~~
16 ~~MEGAWATTS, OF ELECTRIC GENERATION RESOURCES THAT ARE OWNED, CONTROLLED,~~
17 ~~CONTRACTED FOR OR OTHERWISE RELIED ON BY AN ELECTRIC PUBLIC SERVICE~~
18 ~~CORPORATION TO SERVE RETAIL LOAD IN THIS STATE.~~

19 ~~(b) INCLUDES CAPACITY FROM UTILITY-OWNED RESOURCES AND CAPACITY~~
20 ~~FROM PURCHASED POWER OR TOLLING ARRANGEMENTS THAT PROVIDE CAPACITY VALUE~~
21 ~~TO THE ELECTRIC PUBLIC SERVICE CORPORATION.~~

22 ~~2. "INTERMITTENT AVAILABILITY" MEANS RESOURCE AVAILABILITY THAT IS~~
23 ~~PRIMARILY DEPENDENT ON WEATHER CONDITIONS, SOLAR IRRADIANCE, WIND SPEEDS~~
24 ~~OR OTHER NATURALLY VARIABLE CONDITIONS BEYOND THE OPERATOR'S CONTROL AND~~
25 ~~THAT CANNOT BE DISPATCHED ON DEMAND TO MEET SYSTEM NEEDS AS DETERMINED BY~~
26 ~~THE COMMISSION.~~

27 ~~[3. "PERFORMANCE STANDARD" MEANS AN ANNUAL AVAILABILITY OR CAPACITY~~
28 ~~STANDARD OR OTHER OBJECTIVE RELIABILITY METRIC THAT IS ADOPTED BY THE~~
29 ~~COMMISSION IN RULE AND THAT MEASURES WHETHER A RESOURCE IS CAPABLE OF~~
30 ~~BEING AVAILABLE WHEN NEEDED.~~

31 ~~4.] [3.] "RELIABLE RESOURCE" MEANS AN ELECTRIC GENERATION RESOURCE~~
32 ~~THAT IS DISPATCHABLE [OR IS CAPABLE OF PROVIDING BASELOAD ENERGY] AND THAT~~
33 ~~IS NOT SUBJECT TO INTERMITTENT AVAILABILITY, EXCEPT FOR ROUTINE~~
34 ~~MAINTENANCE AND REPAIRS.~~

35 ~~[5. "RESOURCE ACCREDITATION":~~

36 ~~(a) MEANS THE PROCESS OF ASSIGNING A CREDIT TO A RELIABLE RESOURCE~~
37 ~~TO DESCRIBE HOW MUCH THE RELIABLE RESOURCE CONTRIBUTES TO GENERATING~~
38 ~~CAPACITY AT ALL TIMES.~~

39 ~~(b) INCLUDES THE LOAD CARRYING CAPACITY.]~~

40 Sec. 3. Legislative intent

41 The legislature intends that this act is necessary for the
42 convenience, comfort and safety of and the preservation of the health of
43 public service corporation patrons.

44 Sec. 4. Short title

1 This act may be cited as the "Energy Reliability Standards Act".

2 Enroll and engross to conform

3 Amend title to conform

RALPH HEAP

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